Theory case · Topic 2 · 2 points · 15 min

C10 — Closing an engine-parts plant: mapping the stakeholders and their power

> *TurboCast S.A., a maker of turbine blades, plans to close its oldest plant, in a town of 8,000 inhabitants where it employs 600 people, and move production to a new automated plant. The shareholders support the plan; the main bank, which financed the new plant, wants it to happen fast. The unions call a strike. The regional government offers a subsidy if the plant stays open two more years. The engine manufacturer that buys 70% of the blades demands that deliveries are not interrupted. Local suppliers and environmental groups also make their voices heard.*

Part (a) · 1 point

Identify the stakeholders in the case and what each one wants

Stakeholder [Slide 5]	In the case	What it wants
Shareholders	Owners of TurboCast	Lower costs and higher value through automation
Banks and financial agents	Lender of the new plant	Repayment; a fast transition that makes the plant profitable
Employees and unions	600 workers	To keep their jobs and conditions
The State	Regional government	Employment and activity in the region
Customers	Engine manufacturer	Uninterrupted, on-time deliveries
Suppliers	Local suppliers	To keep their contracts
Society	Town, environmental groups	Local activity, responsible behaviour (CSR)

KEY POINTS

- Shareholders: higher profit and value through automation.
- Bank: repayment of the loan for the new plant.
- Employees and unions: keep their jobs.
- State (regional government): employment in the region.
- Customer (engine maker): uninterrupted deliveries.
- Suppliers and society: local business, environment.

Part (b) · 1 point

Explain, using organizational theory, how the final decision is likely to be reached

Organizational theory sees the objective as the **outcome of a negotiation among stakeholders**, limited by two facts: the firm must **survive**, and **not all groups have the same power** [Slide 6]. Here the engine manufacturer has very high bargaining power (70% of sales), as do the shareholders and the bank; the unions and the government have less power but can impose costs (strikes, subsidies withdrawn). The likely outcome is a **compromise**: the move to the automated plant goes ahead, because survival requires competitive costs, but it is **phased** over two years with the regional subsidy, deliveries are protected with stock built in advance, and part of the staff is relocated or retrained. That decision satisfies the most powerful groups while taking the others into account, which is what maximizing the value of the enterprise means in practice.

KEY POINTS

- The decision is a negotiated outcome, not one group's wish.
- It satisfies the group with the most bargaining power (here the engine maker, which buys 70%, together with shareholders and bank) while taking the others into account.
- Constraint of survival: TurboCast must stay competitive.
- A likely compromise: a phased closure (subsidy, two years), guaranteed deliveries, relocation or retraining.